

GE VERNOVA: A SEGMENT-BASED EARNINGS FORECAST AND PROFITABILITY ANALYSIS

June 4, 2026

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1. Executive Summary

GE Vernova is well positioned to benefit from long-term trends in electrification, power infrastructure investment, and rising electricity demand. Based on my analysis, I expect the company to deliver steady revenue growth and significant profitability improvement over the next three years, supported primarily by its Power and Electrification segments.

In this report, I forecast total revenue to increase from approximately \$38 billion in 2025 to \$49 billion in 2028. I expect earnings growth to outpace revenue growth as profitability continues to improve. Excluding the one-time tax benefit recognized in 2025, GE Vernova's underlying earnings growth is expected to remain strong, supported by margin expansion, operating leverage, and an increasingly favorable business mix.

The primary growth driver is expected to be Electrification, supported by strong demand for grid modernization, transmission infrastructure, and data-center-related power investments. Meanwhile, Power should continue to provide stable revenue growth and cash generation through a strong Gas Power backlog and increasing service activity.

While Wind remains the company's most challenged segment, my forecast does not rely on a meaningful recovery in Offshore Wind. Instead, I expect the majority of future earnings growth to come from the more visible and fundamentally supported Power and Electrification businesses. Consequently, I believe GE Vernova's earnings outlook remains favorable, driven by backlog conversion, operating leverage, and an improving business mix.

2. Industry Overview

The global power industry is benefiting from several long-term structural trends that are expected to support sustained investment in generation, transmission, and grid infrastructure.

Electricity Demand Growth

Global electricity demand is expected to increase due to the rapid expansion of AI data centers, ongoing electrification across transportation and industry, and broader economic growth. As power consumption rises, utilities and industrial customers are investing in new generation capacity and upgrading existing infrastructure to improve reliability and efficiency.

Grid Modernization

Aging transmission networks, growing renewable penetration, and rising electricity demand are driving significant investment in grid infrastructure. Demand for transformers, substations, grid automation, and energy storage solutions continues to accelerate, creating favorable growth opportunities for power equipment and grid technology providers.

Energy Transition

The transition toward lower-carbon energy systems continues to support investment in renewable generation and related infrastructure. As renewable capacity expands, grid operators increasingly require transmission upgrades, energy storage systems, and grid integration technologies to maintain system reliability.

Overall, these trends provide a supportive industry backdrop for GE Vernova's Power and Electrification businesses and reinforce the company's long-term earnings growth potential.

3. Company Overview

GE Vernova is a global energy technology company that provides power generation, wind energy, and electrification solutions. Following its separation from General Electric, the company operates through three primary business segments: Power, Wind, and Electrification.

Power includes Gas Power, Nuclear, Hydro, and Steam Power. The segment provides power generation equipment and long-term service solutions to utilities and industrial customers worldwide. Power currently represents the company's largest business and the primary contributor to earnings.

Wind includes Onshore Wind, Offshore Wind, and LM Wind Power. The segment designs and manufactures wind turbines and related components. While Onshore Wind has shown signs of stabilization, Offshore Wind continues to face execution and profitability challenges.

Electrification consists of Grid Solutions, Power Conversion & Storage, and Electrification Software. The segment provides technologies that support grid modernization, power transmission, energy storage, and digital energy management. Electrification has become the company's fastest-growing business and is expected to play an increasingly important role in future earnings growth.

Overall, Power contributes the majority of current earnings, Electrification represents the company's primary growth engine, while Wind remains the most challenged segment. As a

result, future profitability is expected to be increasingly driven by the combined growth of Power and Electrification rather than a recovery in Wind.

4. Historical Performance Review

GE Vernova's recent financial performance demonstrates a significant improvement in both growth and profitability. Total revenue increased from \$33.2 billion in 2023 to \$38.0 billion in 2025, driven primarily by strong execution in Power and rapid expansion in Electrification. Over the same period, the company successfully transitioned from near break-even operating performance to meaningful profitability.

At the segment level, Power remained the company's largest business and primary earnings contributor. Revenue growth was supported by increasing Gas Power equipment deliveries, service activity, and favorable pricing. The segment also benefited from improving operational execution and strong demand for reliable power generation solutions.

Electrification emerged as the fastest-growing segment during the period. Growth was driven by increasing demand for grid modernization, transmission infrastructure, and energy storage solutions. The segment's strong revenue growth was accompanied by substantial margin improvement, reflecting both operating leverage and scale benefits.

In contrast, Wind remained the most challenged business. While Onshore Wind showed signs of stabilization, Offshore Wind continued to face project delays, execution challenges, and profitability pressures. As a result, Wind remained a drag on overall company performance despite ongoing restructuring efforts.

Perhaps the most important development was the company's margin expansion. Gross margin improved from 12.7% in 2023 to 19.7% in 2025, while operating margin increased from -0.4% to 6.2%. At the same time, SG&A expenses declined as a percentage of revenue, indicating improving operating leverage and a more scalable cost structure. These trends suggest that GE Vernova's earnings growth is increasingly being driven not only by revenue expansion but also by improving profitability and business mix.

5. Segment Outlook and Revenue Forecast

Revenue forecasts are derived using a segment-level approach based on backlog trends, order activity, management commentary, and end-market demand assumptions. Growth assumptions are first estimated for each segment and then translated into segment revenue forecasts, which are aggregated to derive total company revenue. Total revenue growth is subsequently reviewed as a reasonableness check against historical trends and industry fundamentals.

Power: Strong Backlog Supports Sustained Growth

Power is expected to remain GE Vernova's primary earnings contributor over the forecast period. The segment benefited from strong Gas Power equipment and service demand, with Gas Turbine orders increasing from 93 units in 2023 to 173 units in 2025. Meanwhile, Power RPO reached \$94.4 billion in 2025, providing strong revenue visibility. Management also indicated higher inventory levels to support expected Gas Power deliveries in 2026. As a result, I forecast Power revenue growth of 8.8%, 7.0%, and 5.3% in 2026E–2028E, driven primarily by Gas Power demand, service activity, and continued investment in reliable power generation infrastructure.

Wind: Stabilization Rather Than Recovery

Wind remains GE Vernova's most challenged segment. Revenue declined from \$9.8 billion in 2023 to \$9.1 billion in 2025, primarily due to weakness in Offshore Wind. Wind RPO decreased from \$26.9 billion in 2023 to \$21.6 billion in 2025, while turbine orders fell significantly, indicating weaker demand visibility than other segments. However, Onshore Wind has shown signs of stabilization through improved pricing, increased deliveries, and stronger service activity. Given that Onshore Wind now represents the majority of segment revenue, I expect gradual stabilization rather than a meaningful recovery. Consequently, Wind revenue is forecast to grow 0%, 2%, and 3% in 2026E–2028E.

Electrification: The Primary Growth Engine

Electrification is expected to remain GE Vernova's fastest-growing segment and the company's primary growth engine. Segment revenue increased from \$6.4 billion in 2023 to \$9.6 billion in 2025, supported by strong demand for grid modernization, transmission infrastructure, energy storage, and data-center-related power investment. Most importantly, Electrification RPO increased from \$16.3 billion in 2023 to \$34.7 billion in 2025, reflecting strong demand across Grid Solutions and related businesses. Given the strength of the backlog and favorable industry fundamentals, I forecast Electrification revenue growth of 18%, 15%, and 12% in 2026E–2028E, making it the largest contributor to incremental revenue growth over the forecast period.

Table 1. Revenue Forecast by Segment

Revenue	2023	2024	2025	2026	2027	2028
Power	17,436	18,127	19,767	21514	23077	24376
Wind	9,826	9,701	9,110	9431	9798	10257
Electrification	6,378	7,550	9,642	11484	13304	15077

Eliminations	-401	-442	-451	-431	-431	-431
Total	33,239	34,935	38,068	41997	45748	49278

Revenue YoY	2023	2024	2025	2026	2027	2028
Power		3.96%	9.05%	8.80%	7.00%	5.30%
Wind		-1.27%	-6.09%	0.00%	2.00%	3.00%
Electrification		18.38%	27.71%	18.00%	15.00%	12.00%

	2023	2024	2025	2026	2027	2028
Power						
Gas	13,220	14,465	16,006	17607	19015	20156
Nuclear	827	819	1,018	1171	1311	1442
Hydro	887	781	806	838	872	898
Steam	2,502	2,063	1,937	1898	1879	1879
Total	17,436	18,127	19,767	21514	23077	24376

Power YoY	2023	2024	2025	2026	2027	2028
Gas		9.42%	10.65%	10.00%	8.00%	6.00%
Nuclear		-0.97%	24.30%	15.00%	12.00%	10.00%
Hydro		-11.95%	3.20%	4.00%	4.00%	3.00%
Steam		-17.55%	-6.11%	-2.00%	-1.00%	0.00%

Wind	2023	2024	2025	2026	2027	2028
Onshore wind	7,761	7,781	8,241	8735	9172	9631
Offshore wind	1,455	1,377	652	522	469	469
LM Wind Power	610	542	217	174	156	156
Total	9,826	9,701	9,110	9431	9798	10257

Wind YoY	2023	2024	2025	2026	2027	2028
Onshore wind		0.26%	5.91%	6.00%	5.00%	5.00%
Offshore wind		-5.36%	-52.65%	-20.00%	-10.00%	0.00%
LM wind power		-11.15%	-59.96%	-20.00%	-10.00%	0.00%

Electrification	2023	2024	2025	2026	2027	2028
Grid Solutions	3,955	4,957	6,620	8076	9530	10960
Power Conversion & Storage	1,548	1,676	2,049	2356	2639	2903
Electrification Software	874	917	973	1051	1135	1214
Total	6,378	7,550	9,642	11484	13304	15077

Electrification YoY	2023	2024	2025	2026	2027	2028
Grid Solutions		25.34%	33.55%	22.00%	18.00%	15.00%
Power Conversion & Storage		8.27%	22.26%	15.00%	12.00%	10.00%

Electrification Software	4.92%	6.11%	8.00%	8.00%	7.00%
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6. Earnings Forecast Methodology and Outlook

Forecast Methodology

Revenue forecasts are first developed at the segment level using assumptions regarding backlog growth, order activity, pricing, and end-market demand. Segment revenues are then consolidated to derive total company revenue, after which margin assumptions are applied to estimate operating income and earnings.

Table 2. Forecast Summary

	2025	2026E	2027E	2028E
Revenue	38.0	42.0	45.7	49.3
Gross Margin	19.7%	21.0%	22.0%	22.8%
Operating Margin	6.2%	8.2%	9.6%	10.8%
Operating Income	2.3	3.4	4.4	5.3

Margin Assumptions

While revenue growth remains an important contributor to earnings expansion, the primary investment thesis is increasingly centered on profitability improvement rather than top-line growth alone.

Gross margin improved from 12.7% in 2023 to 19.7% in 2025, reflecting favorable pricing, productivity gains, and a more attractive business mix. Looking forward, gross margin is projected to expand further to 21.0% in 2026, 22.0% in 2027, and 22.8% in 2028. This improvement is primarily supported by a growing contribution from higher-margin Gas Power services, increasing scale within Electrification, and a reduced earnings drag from loss-making Wind operations.

A key indicator of operating leverage is the steady decline in SG&A expenses as a percentage of revenue. SG&A ratio decreased from 13.7% in 2023 to 10.4% in 2025 and is expected to decline further to approximately 9.0% by 2028. As revenue continues to grow, the company's cost structure appears increasingly scalable, allowing a larger portion of incremental revenue to translate into operating profit.

R&D spending is assumed to remain around 3% of revenue throughout the forecast period. This reflects management's continued investment in next-generation power technologies, grid infrastructure solutions, electrification software, and energy-transition initiatives.

Earnings Outlook

Based on the segment-level forecasts discussed above, total revenue is projected to increase from approximately \$38.0 billion in 2025 to \$49.3 billion in 2028, representing a three-year CAGR of roughly 9%.

The combination of revenue growth and margin expansion is expected to drive significant earnings improvement. Operating margin is forecast to increase from 6.2% in 2025 to 8.2% in 2026, 9.6% in 2027, and 10.8% in 2028. Consequently, operating income is projected to more than double over the forecast period, increasing from \$2.3 billion in 2025 to approximately \$5.3 billion in 2028.

It is important to note that reported 2025 net income benefited from a significant one-time tax valuation allowance release. Therefore, operating income and pre-tax income provide a more meaningful representation of GE Vernova's underlying earnings trajectory. Excluding this one-time tax benefit, the company's earnings outlook remains highly favorable and is supported by strong backlog growth, increasing operating leverage, improving profitability, and long-term electrification and power infrastructure investment trends.

Overall, the forecast remains intentionally conservative. The model does not rely on a meaningful recovery in Offshore Wind and instead attributes the majority of future earnings growth to the more visible and fundamentally supported Power and Electrification segments. As a result, projected profitability improvement is driven primarily by backlog conversion, operating leverage, and business mix enhancement rather than aggressive revenue assumptions.

Table 3. Income Statement and Forecast

Fiscal Year ending Dec 31	2021	2022	2023	2024	2025	2026	2027	2028
INCOME STATEMENT								
Total Revenue	33006	29654	33239	34936	38019	41997	45748	49278
Cost of sales	-28061	-26196	-29025	-28851	-30532	-33177	-35684	-38042
Gross profit	4945	3458	4214	6085	7487	8819	10065	11235
SGA and R&D	-5829	-6339	-5448	-5059	-5140	-5376	-5673	-5913
SGA	-4821	-5360	-4552	-4077	-3943	-4116	-4300	-4435
G&A			-	-				
Selling and marketing/ other SG&A			-	-				
R&D	-1008	-979	-896	-982	-1197	-1260	-1372	-1478
Other operating expense/ (income, add back)	-	-	-	-	-	-	-	-
Total Operating Income	-884	-2881	-127	1026	2347	3444	4392	5322

Interest & other charges - net	-172	-151	-98	-72	14	0	0	0
GE interest and other financial charges	-	-	-	-	-			
Debt extinguishment costs	-	-	-	-	-			
Non-operating benefit income	159	188	-	-	18	0	0	0
Other - net	33	370	146	1406	405	472	472	472
Net Pre-tax Income	-864	-2474	-79	2360	2785	3916	4864	5794
Tax effect	-140	-248	-446	-741	2094	979	1216	1449
Provision (benefit) for income taxes	-140	248	-	-	-	-	-	-
Net income (loss)	-1004	-2722	-525	1619	4879	4895	6080	7243
Noncontrolling interests	91	-14	53	-7	10	27	27	27
Preferred dividend	-	-	-	-	-			
Other	-	-	-	-	-			
Net income (loss) attributable to GE Vernova	-913	-2736	-472	1612	4889	4922	6107	7270

Gross margin	14.98%	11.66%	12.68%	17.42%	19.69%	21%	22%	22.80%
SGA ratio	14.61%	-18.08%	-13.69%	-11.67%	-10.37%	-9.80%	-9.40%	-9%
R&D ratio	-3.05%	-3.30%	-2.70%	-2.81%	-3.15%	-3.00%	-3.00%	-3.00%
Tax ratio	16.20%	10.02%	564.56%	-31.40%	75.19%	25%	25%	25%
Operating margin	-2.68%	-9.72%	-3.71%	2.94%	6.17%	8.20%	9.60%	10.80%

7. Key Takeaways

I expect GE Vernova's future earnings growth to be driven primarily by Power and Electrification. Power should continue to provide stable cash generation supported by its strong backlog and growing service business, while Electrification is expected to remain the company's fastest-growing segment as demand for grid modernization, transmission infrastructure, and energy storage continues to expand.

The key investment thesis is margin expansion rather than revenue growth alone. As the business mix shifts toward higher-margin Power and Electrification businesses, operating leverage should support continued profitability improvement. Key risks include weaker-than-expected backlog conversion, slower growth in electricity demand, and continued execution challenges within Offshore Wind.